

China Daily Brief

Wednesday, September 23, 2026

3,041 words · 12 min read

RE: Xi departs Beijing for DC state visit · Taiwan arms sales as red line · Alibaba Zhenwu V900 · fentanyl precursor controls

USD/CNY
6.6966
▼ -0.14%

SSE COMPOSITE
3,936.52
▲ +1.57%

HANG SENG
24,834.12
▲ +0.49%

BRENT
\$95.42
▼ -8.14%

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• TODAY AT A GLANCE

- 1 Xi Jinping left Beijing this afternoon for a Sept 23-25 state visit to Washington, accompanied by Peng Liyuan, Cai Qi and Wang Yi, with Trump planning a rare planeside welcome at Joint Base Andrews.
- 2 Beijing's ambassador to the US named Taiwan and human rights as 'red lines' hours before the summit, while the Taiwan Affairs Office restated opposition to US arms sales to Taipei and Reuters reported Xi may press Trump on the 1982 communique.
- 3 China expanded export controls on drug precursor chemicals and issued judicial guidelines for fentanyl-related crimes on the eve of the summit, two deliverables aimed at the US side of the truce.

DIPLOMACY

Xi departs Beijing for Washington state visit with Cai Qi and Wang Yi in delegation

Xi Jinping left Beijing by special aircraft on the afternoon of Sept 23 for a state visit to the United States, CCTV reported, accompanied by Peng Liyuan, Politburo Standing Committee member and Central Office director **Cai Qi**, and Politburo member and Foreign Minister **Wang Yi**. MOFA announced on Sept 21 that the visit runs Sept 23-25 at Trump's invitation; spokesperson **Guo Jiakun** called two head-of-state visits within half a year 'historic and a milestone.'

經濟日報 / CCTV · SEP 23

US-CHINA

China's ambassador to the US names Taiwan and human rights as 'red lines' before summit

Beijing's ambassador in Washington set out Taiwan and human rights as red lines hours before the Trump-Xi meeting. Sinocism reports Reuters separately saying Xi may press Trump to halt Taiwan arms sales under the 1982 joint communique, possibly at the US National Archives, with an offer to pressure Iran over the Middle East war as the inducement.

REUTERS · SEP 23

SANCTIONS

China expands drug-precursor export controls and sets fentanyl sentencing guidelines pre-summit

Beijing widened export controls on drug precursor chemicals days before the Trump-Xi meeting, AP reported. Reuters separately reported Chinese authorities issued guidelines for handling fentanyl-related crimes ahead of the summit.

AP · REUTERS · SEP 23

TECHNOLOGY

Alibaba unveils Zhenwu V900, claims 'most powerful AI chip in China'

At its annual conference in Hangzhou, Alibaba CEO **Eddie Wu** said the new Zhenwu V900 delivers *three times* the performance of the previous Zhenwu M890 and is the most powerful AI chip in China today. Alibaba also plans a model at five to ten trillion parameters, its current Qwen3.8-Max has 2.4 trillion, against Moonshot AI's Kimi K3 at 2.8 trillion, and expects over 20 gigawatts of computing by 2032.

TAIPEI TIMES · WASHINGTON POST · NIKKEI ASIA · SEP 23

TECHNOLOGY

China surveys use of Broadcom hardware in state data centres

Beijing is surveying the use of Broadcom switching hardware in state data centres, the FT reported, as part of a drive to boost domestic suppliers and cut reliance on foreign AI infrastructure. FT Chinese framed the same push as expanding public-sector use of domestic semiconductors and AI products.

FT (REUTERS PICKUP) · SEP 23

• OVERNIGHT

TECHNOLOGY	NYT: how Xi plans to win the future with AI · New York Times A decade after Xi asked whether China could master AI, the push is remaking the economy and reinforcing social control, the NYT reports. CGTN published a compilation of 'Xi Jinping's key quotes on artificial intelligence' the same day.
DIPLOMACY	Hu Changsheng named Tibet party chief in regional reshuffle · Reuters Reuters reports Hu Changsheng has been appointed Tibet's new top official as part of a regional leadership reshuffle. The move lands weeks before the Fifth Plenum of the 20th Central Committee scheduled for October.
DIPLOMACY	The Economist on the CCP's generational shift · The Economist The Economist examines the generational turnover facing the Communist Party. The Fifth Plenum in October sets up the run to the 21st Party Congress in 2027.
DIPLOMACY	Xi skips the UN General Assembly during his US trip · Nikkei Asia Xi will not stop at UNGA during his US visit, Nikkei reports, with Beijing prioritising the bilateral track. Trump addressed the assembly this week.
INDO-PACIFIC	WaPo: China and Russia expanding Arctic shipping routes · Washington Post A Washington Post opinion piece argues China's Arctic moves, alongside Russia, amount to a strategic wake-up call. The Polar Silk Road is among the PRC overseas infrastructure footprints CSIS Hidden Reach tracks.
TECHNOLOGY	Foxconn leads Taiwanese plan for AI server and EV hub in Poland · Nikkei Asia Taiwanese technology firms led by Foxconn are on track to build a multibillion-dollar hub in Poland centred on AI servers, Nikkei reports from Hamburg.
PRC-ECONOMY	China's power infrastructure stocks lag the AI investment surge · Nikkei Asia Shares of Chinese power parts makers have not captured the surge in AI-linked investment, Nikkei reports from Hong Kong.
ENERGY	China's coking coal squeeze seen lasting into 2027 · Bloomberg Bloomberg reports the supply squeeze in Chinese coking coal is expected to persist into 2027. Copper has risen for a sixth day toward a record on China tightness.

TARIFF · CNBC

Soybeans, planes and rare earths: uneven delivery on the truce commitments

CNBC finds uneven follow-through on the soybean, aircraft and rare-earth commitments underpinning the US-China trade truce, with both sides nonetheless maintaining the detente. The May 14-15 Beijing summit set at least \$17bn/yr of US farm purchases through 2028 and 200 Boeing aircraft.

DIPLOMACY · WASHINGTON POST

AI on the summit agenda, but no deal in prospect

AI industry figures are calling for a US-China understanding; the Post reports the two sides are not close to one. MOFA was asked Sept 22 about Treasury Secretary Scott Bessent's suggestion of a US-China AI notification mechanism.

DIPLOMACY · WSJ

Trump summit with Xi unlikely to include Chinese CEOs

The WSJ reports the Washington summit is unlikely to feature Chinese chief executives. Asked whether a Chinese business delegation would travel with Xi, MOFA said it had 'no relevant information.'

DIPLOMACY · REUTERS

Wife of detained US seismologist says Trump will raise his case with Xi

Reuters reports the wife of a US seismologist held in China expects Trump to ask Xi for his release. AP separately carries the wife of detained Chinese American scientist Youlin Chen hoping the case is raised at the summit.

DIPLOMACY · BLOOMBERG

Trump and Burnham discussed raising Jimmy Lai with Xi

Bloomberg reports Trump and Burnham discussed putting the Jimmy Lai case to Xi during the state visit. China's ambassador in Washington listed human rights among Beijing's red lines the same day.

TARIFF · CNBC

South Korean solar stocks jump on expectation US curbs on Chinese solar stay

Korean solar shares rose as investors bet US restrictions on Chinese solar products will remain in place through the summit. Section 301 duties on Chinese solar cells stand at 50 percent under the Biden 2024 additions.

DIPLOMACY · FINANCIAL TIMES

FT: Trump wary of jeopardising the detente as Xi arrives

The FT reports Xi will find a US president reluctant to disturb the bilateral truce. SCMP separately reports China hawks in Washington grumbling over the planned tarmac welcome at Joint Base Andrews.

CROSS-STRAIT · TAIPEI TIMES

US scholars expect Xi to press Taiwan arms sales at the summit

Bonnie Glaser of the German Marshall Fund said Xi is likely to raise Taiwan with a focus on US arms sales, arguing from Beijing's view that 'arms sales to Taiwan would undermine that understanding and inject greater friction into the relationship.' **Dennis Wilder**, former NSC China director, said Trump is very unlikely to raise Taiwan and views the status quo as 'very acceptable.'

CROSS-STRAIT · REUTERS

Taiwan says it will keep 'close contact' with the US on arms sales

Taipei said it will maintain close contact with Washington over arms sales as the summit opens. Le Monde reports Taiwanese concern over postponed arms deliveries ahead of the visit.

ASEAN · TAIPEI TIMES

Taiwan donates decommissioned Kinmen-class patrol vessel to the Philippine Coast Guard

A decommissioned 500-tonne Kinmen-class cutter, visually identified by United Daily News as the retired Lienchiang (CG-125), was handed to the Philippine Coast Guard on Monday at a ceremony run by the Philippine Non-government WPS Foundation. The Coast Guard Administration confirmed the donation last Wednesday but withheld specifications and did not name the recipient.

CROSS-STRAIT · 联合早报 (LIANHE ZAOBAO)

TAO calls Taiwan's patrol-vessel donation to Manila a loss of national standpoint

The Taiwan Affairs Office said the donation of a coast guard vessel to the Philippines showed a loss of national standpoint and was contemptible. The same TAO briefing restated opposition to US arms sales to Taiwan on the eve of the Trump-Xi meeting.

JAPAN · NEW YORK TIMES

Takaichi tells UNGA to scrub the 'enemy state' clauses from the UN Charter

Japanese Prime Minister **Sanae Takaichi** told the General Assembly the UN should remove the World War II-era 'enemy state' designation from its Charter; the NYT notes China and Russia have used the term against Japan recently. MOFA responded that the clauses 'still carry important practical significance today.'

JAPAN · NIKKEI ASIA

Trump and Takaichi reaffirm the alliance days before the Xi visit

Takaichi and Trump agreed in New York on Tuesday to further strengthen the bilateral alliance. The NYT reports Tokyo sought US help on China's economic and security pressure while also trying to de-escalate with Beijing.

MULTILATERAL · TAIPEI TIMES

Taiwan labor minister says no 'downgrading' at APEC meeting in Nanjing

Labor Minister **Hung Sun-han**, the first ministry head in the Lai administration to travel to China, said Taiwan received rights equal to other members at the eighth APEC Human Resources Development Ministerial Meeting. He confirmed he neither applied for nor used a 'Taiwan compatriot permit,' entering on an invitation letter.

EUROPE · REUTERS

Commerce minister says China backs its automakers investing in Europe

China's commerce minister said Beijing supports Chinese carmakers investing in Europe and urged the EU to keep auto markets open and avoid protectionism, per Reuters and Bloomberg. An Italian lobby

group called earlier this month for an 80 percent EU tariff on Chinese cars and parts.

INDIA · NIKKEI ASIA

Indian battery makers scale back as China partnerships sour

Amara Raja and JSW are tempering battery cell ambitions as Beijing withholds cutting-edge technology, Nikkei reports from Bengaluru. Indian firms had counted on Chinese technical partnerships to build domestic cell capacity.

• STAT OF THE DAY

20 gigawatts

Alibaba's target AI compute capacity by 2032

Alibaba cited SpaceX at roughly 1.4 gigawatts of AI computing capacity as of mid-2026 for comparison.

Taipei Times / Washington Post — Alibaba unveils Zhenwu V900

MACRO · WSJ

WSJ: China can avoid a financial crisis but not the cost

The WSJ argues Beijing has the tools to prevent an outright financial crisis while still bearing the economic cost of the adjustment.

TECH / DEEPSEEK, MOONSHOT AI · BLOOMBERG

Chinese AI stocks fall on report of DeepSeek, Moonshot probe

Shares in Chinese AI names dropped on a report of a probe involving DeepSeek and Moonshot AI. Bloomberg separately reports China's AI trade favouring global winners over local champions.

TECH / CANSEMI TECH · BLOOMBERG

CanSemi Tech joins China chip IPO wave with \$919 million deal

CanSemi Tech is raising *\$919 million* in the latest domestic semiconductor listing, following Enflame's \$912 million Shanghai debut earlier this month.

ENERGY / GOLDMAN SACHS · BLOOMBERG / 联合早报

Goldman sees China Q4 crude imports up only ~600,000 b/d on the quarter

Goldman analysts expect China's fourth-quarter crude imports to rise about 600,000 barrels per day versus Q3 but remain roughly 3 million b/d below a year earlier. They estimate a sustained 1 million b/d change in net imports over six months shifts Brent fair value by about \$4 a barrel.

MANUFACTURING / BMW · REUTERS

ECB finds China's industrial rise hitting German manufacturers hard

ECB research quantifies the damage to German manufacturers from Chinese industrial expansion. BMW's CEO separately said he sees risk from cheap Chinese cars in Europe but opposes tariffs.

TECH / ALIBABA · BLOOMBERG

Alibaba to add data centres in Europe and the Middle East

Alibaba will expand its cloud data centre footprint into Europe and the Middle East as part of the AI buildout announced in Hangzhou.

FINANCE / HKEX, HKMA · SCMP

HKEX to launch yuan-denominated gold futures early next year

HKEX will launch yuan-denominated gold futures early in 2027, with the HKMA planning more yuan products and platforms to support currency internationalisation, speakers told a banking summit on Wednesday.

• WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · WEDNESDAY, SEPTEMBER 23, 2026

中国人民银行 · PEOPLE'S BANK OF CHINA

PBOC announces 800 billion yuan one-year MLF operation for Sept 24 and holiday overnight reverse repos

The central bank said it will conduct an 800 billion yuan one-year medium-term lending facility operation on Sept 24, described in Chinese financial press as a net injection of 200 billion yuan. Separately it will run daily overnight reverse repo operations from Sept 28 to Oct 8, each capped at 1 trillion yuan, spanning the National Day holiday.

→ [PBOC ↗](#)

中国人民银行 · PEOPLE'S BANK OF CHINA

PBOC issues 60 billion yuan of central bank bills via Hong Kong's CMU

The ninth tranche of 2026 central bank bills was sold by interest-rate tender through the CMU platform at a winning rate of 1.37 percent, totalling 60 billion yuan.

→ [PBOC ↗](#)

民政部 · MINISTRY OF CIVIL AFFAIRS · *Li Changguan, Minister of Civil Affairs*

State Council Information Office briefing on elderly care under the 15th Five-Year Plan

Li Changguan told the Sept 23 SCIO briefing that more than 53 million elderly people receive state subsidies and that elderly-care institutions and facilities now number 395,000.

→ [State Council ↗](#)

国务院 · SUPREME PEOPLE'S COURT / JUDICIAL AUTHORITIES

China issues sentencing guidelines for fentanyl-related crimes days before the summit

Reuters reported Chinese authorities set judicial guidelines covering fentanyl-related offences, timed ahead of the Trump-Xi meeting in Washington.

→ [Reuters ↗](#)

PERSONNEL CHANGES

Hu Changsheng **APPOINTED**

Tibet Autonomous Region party secretary

Reuters reports Hu Changsheng named Tibet's new top official as part of a regional leadership reshuffle, weeks before October's Fifth Plenum.

国台办 · TAO · CROSS-STRAIT DIRECT FLIGHTS AND MID-AUTUMN MESSAGING

FIRM · TO TAIWAN

Zhu Fenglian '· TAO spokesperson

“The obstacle to fully restoring all cross-strait direct air routes lies with the Democratic Progressive Party authorities. We hope the Taiwan side will follow public opinion and lift unreasonable restrictions on cross-strait air transport as soon as possible, letting airlines on both sides arrange flight schedules independently according to market demand.”

两岸空中直航航点全面复航的障碍症结在于民进党当局，希望台湾方面顺应民意，尽快取消对两岸航空运输的不合理限制，让两岸航空公司根据市场需求自主安排航班计划。

Zhu made the remarks at the TAO's regular Sept 23 press conference, where she also delivered Mid-Autumn greetings in Minnan and Hakka.

第一财经 (Yicai)

国台办 · TAO · TAIWAN'S COAST GUARD VESSEL DONATION TO THE PHILIPPINES

WARNING · TO TAIWAN

TAO spokesperson

“Per Lianhe Zaobao: the Taiwan Affairs Office said Taiwan's donation of a coast guard patrol vessel to the Philippines showed a loss of national standpoint and was contemptible.”

台湾向菲律宾捐赠海巡舰 国台办：丧失民族立场令人不齿

A decommissioned 500-tonne Kinmen-class cutter was handed to the Philippine Coast Guard on Monday, per Taipei Times.

联合早报 (Lianhe Zaobao)

外交部 · MOFA · UN CHARTER 'ENEMY STATE' CLAUSES AFTER TAKAICHI'S UNGA SPEECH

FIRM · TO JAPAN

Guo Jiakun '· MOFA spokesperson

“Per the MOFA briefing: the 'enemy state' clauses still carry important practical significance today.”

“敌国条款”时至今日仍具有重要现实意义

Japanese Prime Minister Sanae Takaichi told the UN General Assembly the Charter's World War II-era enemy-state designation should be removed.

外交部发言人 (MOFA presser)

外交部 · MOFA · US SECONDARY SANCTIONS ON COUNTRIES HOSTING IRANIAN FLIGHTS

FIRM · TO US

Guo Jiakun '· MOFA spokesperson

“China consistently opposes illegal unilateral sanctions that lack a basis in international law and are not authorised by the UN Security Council.”

中方一贯反对缺乏国际法依据、未经联合国安理会授权的非法单边制裁。

Treasury Secretary Scott Bessent said Iranian carriers would face worldwide operational shutdown from Sept 23, with secondary sanctions threatened against foreign providers of fuelling and ground services.

德国之声中文 (DW Chinese)

Guo Jiakun · MOFA spokesperson

“Head-of-state diplomacy plays an irreplaceable strategic guiding role for China-US relations; the two heads of state exchanging visits within half a year is historic and of milestone significance.”

元首外交對於中美關係具有不可替代的戰略引領作用，中美兩國元首在半年內實現互訪，具有歷史性、里程碑意義。

Guo announced on Sept 21 that Xi would visit the US Sept 23-25 at Trump's invitation.

經濟日報 (UDN)

• WHAT OTHERS ARE SAYING

TAIPEI TIMES · SEP 23

Bonnie Glaser · Managing director, Indo-Pacific program, German Marshall Fund

“Xi Jinping would say that arms sales to Taiwan would undermine that understanding and inject greater friction into the relationship.”

Glaser said Trump should caution Xi against using force and note that the Taiwan Relations Act obliges the US to provide arms.

source

TAIPEI TIMES · SEP 23

Hung Sun-han · Taiwan Minister of Labor

“During our participation in the meeting, we did not encounter any so-called downgrading.”

Hung is the first ministry head in the Lai administration to travel to China, attending the eighth APEC Human Resources Development Ministerial Meeting in Nanjing.

source

TAIPEI TIMES · SEP 23

Jeffrey Ordaniel · President and CEO, Philippine Non-government WPS Foundation

“With the completion of the necessary legal, administrative, and technical requirements, the vessel is now under the custody of the PCG for civilian maritime purposes.”

The foundation's statement omitted any mention of the vessel's Taiwanese origin; Taiwan's Coast Guard Administration had confirmed the donation last Wednesday.

source

DIPLOMACY

AP

Trump to greet Xi planeside at Joint Base Andrews

AP reports a rare planeside welcome as Xi's state visit opens Wednesday.

WASHINGTON POST

Trump plans pomp and pageantry for Xi

The Post details the ceremonial program planned for the state visit.

SCMP

China hawks grumble over the lavish welcome planned for Xi

SCMP notes US public anxiety over China has eased from its 2024 peak in recent surveys.

US-CHINA

CNN

CNN: much has changed since Xi's last US state visit, mostly in China's favor

Xi meets Trump in a different position from their last face-to-face in the US nearly a decade ago.

NEW YORK TIMES

NYT: Xi seeks to extend the truce while shoring up a fragile economy

Xi may lock in a tactical truce with a US president constrained by war and politics.

SINOCISM

Sinocism: little visibility on summit outcomes beyond 'strategic stability' language

Bill Bishop flags Taiwan as Xi's focus and the 1982 communique gambit as 'a bad trade.'

PRC-ECONOMY

CNBC

CNBC: persistent export growth cushions China's domestic troubles

Chinese exports to the US keep growing, helping the economy ride out domestic weakness.

CROSS-STRAIT

TAIPEI TIMES

MAC defends barring Shanghai TAO deputy director from Taipei-Shanghai forum

Taipei approved department head Wang Hao instead of deputy director Li Xiaodong; TAO said it welcomes the forum going ahead.

● UPCOMING

Sep
24

Trump-Xi summit and state dinner, White House

Xi's state visit runs Sept 23-25. The WSJ reports the summit is unlikely to include Chinese CEOs; MOFA said it had 'no relevant information' on a business delegation.

Sep
28

PBOC begins daily overnight reverse repo operations through Oct 8

Each day's operation capped at 1 trillion yuan, covering the National Day holiday liquidity window.

Oct
1

PRC National Day, 77th anniversary

Golden Week travel and consumption data follow; TAO has flagged expanded Taiwan pomelo sales on the mainland over the Mid-Autumn and National Day holidays.

Nov
10

Busan-deal suspensions lapse absent extension

The BIS Affiliates Rule suspension and China's Oct 2025 rare-earth export-control expansion suspension were each set for one year from Nov 10 2025.

Nov
18

APEC Economic Leaders' Meeting, Shenzhen

China hosts Nov 18-19; Taiwan's labor minister Hung Sun-han has just returned from the APEC human resources ministerial in Nanjing.

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